CANADA BREAD COMPANY, LIMITED



INTERIM REPORT TO SHAREHOLDERS

For the First Quarter Ended
March 31, 2002

REPORT TO SHAREHOLDERS:

"We are very pleased with our strong start to the year and the continuing improvement in both sales and profitability across our business", said Richard Lan, President and Chief Executive Officer. "I would also like to recognize the tremendous contribution that Multi-Marques is making. We are sharing best practices and identifying synergies to support further growth".

Sales for the quarter were $231.5 million, a 69% increase compared to last year. The increase in sales was principally due to the consolidation of results for Multi-Marques Inc. (Multi-Marques), wholly owned since October 2001. Excluding the Multi-Marques contribution, sales for the quarter increased by 8%, reflecting business growth across all principal product lines.

In accordance with recent changes in generally accepted accounting principles, the Company no longer amortizes its goodwill, resulting in a positive impact on 2002 earnings. The effect of this is explained more fully in note 1 to these financial statements. All comparative percentage increases noted here are after taking account of this change.

Earnings from operations for the quarter were $10.9 million, compared to $5.9 million last year ($6.6 million last year before goodwill amortization), an increase of 65%. In addition to the contribution from Multi-Marques, the Company continues to benefit from operational improvements that have been achieved over the past two years, and from increased sales both in Canada and to Maple Leaf Bakery in the United States.

Net earnings for the quarter were $6.4 million ($0.30 per share), compared to $3.3 million ($0.16 per share) last year ($4.1 million last year or $0.19 per share before goodwill amortization), an increase of 57%. The increase in net earnings reflects the strong improvement in operating earnings, which was partly offset by higher interest expense on debt incurred to purchase the remaining shares of Multi-Marques.

Prior to the acquisition of the remaining 75% of Multi-Marques in October 2001, the Company's share of earnings from its 25% investment was equity accounted and included in Other Income. On April 11th, 2002, the Company acquired the remaining 40% of the shares in Ben's Limited in Atlantic Canada. The Company now wholly owns all of its bakery assets in Quebec and Atlantic Canada. The Company has not yet completed the determination of fair values of the individual assets and liabilities acquired or its restructuring and integration plans for the operations acquired. Accordingly, the allocation of the purchase cost is preliminary. No restructuring costs have been accrued in the preliminary purchase accounting included in these financial statements. If decisions are made to restructure any existing Canada Bread operations, the cost of such restructuring will be charged to earnings in the relevant period.

Cash flow from operating activities for the first quarter was a use of funds of $1.2 million, compared to positive cash flow in 2001 of $11.1 million. This was primarily due to an increased investment in working capital in 2002 and a dividend received from Multi-Marques in 2001.

On April 24, 2002, the Company declared a dividend of $0.06 per share payable on July 3, 2002 to shareholders of record on June 14, 2002.

As a result of recent organizational changes, the Company also announced that Michael McCain has been appointed to Chairman of the Board, following the appointment of Richard Lan as President and Chief Executive Officer. Mr. McCain is also the Chief Executive Officer of Maple Leaf Foods Inc.

Canada Bread, which is 68% owned by Maple Leaf Foods Inc., is Canada's leading manufacturer and distributor of bakery products and fresh pasta to the retail and food service industries.

For the Board of Directors,





Richard A. Lan
President and Chief Executive Officer

Michael H. McCain
Chairman

CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars	As At March 31, 2002 (Unaudited)	As At March 31, 2001 (Unaudited)	As At December 31, 2001
Assets			
Current assets:			
Cash	**$ —**	$ 4,350	$ —
Accounts receivable (note 3)	**23,983**	19,666	25,211
Due from related company	**5,502**	5,970	6,461
Inventories	**20,117**	16,706	21,133
Income and other taxes receivable	**—**	2,621	—
Future tax asset	**3,094**	2,745	3,094
Prepaid expenses	**1,676**	3,280	2,739
	54,372	55,338	58,638
Investment in associated company	**—**	36,721	—
Property and equipment	**246,330**	153,297	251,170
Other long-term assets	**6,825**	3,448	6,307
Goodwill	**126,980**	73,489	126,980
	$434,507	$322,293	$443,095
Liabilities and Shareholders' Equity			
Current liabilities:			
Bank indebtedness	**$ 1,099**	$ —	$ 665
Accounts payable and accrued charges	**82,190**	49,138	95,061
Dividend payable	**1,285**	1,285	1,285
Income and other taxes payable	**2,134**	—	7,287
Current portion of long-term debt	**8,536**	97	8,838
	95,244	50,520	113,136
Long-term debt	**40,757**	160	36,275
Future tax liability	**37,863**	34,134	38,182
Minority interest	**4,474**	—	4,348
Shareholders' equity	**256,169**	237,479	251,154
	$434,507	$322,293	$443,095

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

In thousands of Canadian dollars (Unaudited)	Quarter Ended March 31, 2002	Quarter Ended March 31, 2001
Retained earnings, beginning of period	**$214,189**	$198,476
Net earnings for the period	**6,369**	3,323
Dividends declared ($0.06 per share; 2001 - $0.06 per share)	**(1,285)**	(1,285)
Retained earnings, end of period	**$219,273**	$200,514

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts (Unaudited)	Quarter Ended March 31, 2002	2001
Sales	**$231,496**	$136,975
Earnings from operations	**10,909**	5,885
Other income	**27**	156
Earnings before interest and taxes	**10,936**	6,041
Interest expense	**934**	217
Earnings before income taxes	**10,002**	5,824
Income taxes	**3,576**	2,501
Earnings before minority interest	**6,426**	3,323
Minority interest	**57**	-
Net earnings for the period	**$ 6,369**	$ 3,323
Earnings per share (basic and diluted)	**$ 0.30**	$ 0.16
Dividends per share declared	**$ 0.06**	$ 0.06
Weighted average number of shares (millions)	**21.4**	21.4

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars (Unaudited)	Quarter Ended March 31, 2002	2001
Cash Provided By (used in):		
Operating activities		
Net earnings for the period	**$ 6,369**	$ 3,323
Items not affecting cash:		
Depreciation	**7,236**	4,467
Amortization	**—**	736
Minority interest	**57**	—
Future income taxes	**(319)**	(95)
Undistributed earnings of an associated company	**—**	10,250
Gain on sale of property and equipment	**(27)**	—
Changes in non-cash operating working capital	**(14,543)**	(7,573)
	(1,227)	11,108
Financing activities		
Dividends paid	**(1,285)**	(1,285)
Increase (decrease) in long-term debt, net	**4,180**	(20)
	2,895	(1,305)
Investing activities		
Additions to property and equipment	**(2,919)**	(2,173)
Proceeds from sale of property and equipment	**817**	—
	(2,102)	(2,173)
Increase (decrease) in cash for the period	**(434)**	7,630
Bank indebtedness, beginning of period	**(665)**	(3,280)
Cash (Bank indebtedness), end of period	**$ (1,099)**	$ 4,350

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CANADA BREAD COMPANY, LIMITED

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(Quarters ended March 31, 2002 and March 31, 2001)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2001. These unaudited interim consolidated financial statements have been prepared in accordance with the Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2001 except for the following:

(a) Business Combinations, Goodwill and Other Intangible Assets

In September 2001, the Canadian Institute of Chartered Accountants (CICA) issued Handbook Sections 1581 "Business Combinations" and 3062 "Goodwill and Other Intangible Assets". The new standards require the purchase method of accounting for business combinations and require that goodwill no longer be amortized but instead be tested for impairment at least annually. The standards require that specified intangible assets be recognized and reported apart from goodwill. The Company has adopted these new standards as of January 1, 2002 and has discontinued amortization of all existing goodwill. Effective July 1, 2001, goodwill arising on business combinations completed after June 30, 2001 was not amortized.

In connection with the Section 3062 transitional goodwill impairment evaluation, the Company is required to assess whether goodwill is impaired as of January 1, 2002. The Company has up to six months to determine the fair value of its reporting units and compare that to the reporting unit's carrying amounts. To the extent a reporting unit's carrying amount exceeds its fair value, the Company must perform a second step to measure the amount of impairment in a manner similar to a purchase price allocation. This second step is to be completed no later than December 31, 2002. Any transitional impairment will be recognized as an effect of a change in accounting principle and will be charged to opening retained earnings as of January 1, 2002. The Company has not yet determined the impact of this transitional goodwill impairment assessment on its financial statements.

Effective January 1, 2002, the Company had unamortized goodwill of $127.0 million which is no longer being amortized. This change in accounting policy is not applied retroactively and the amounts presented for prior periods have not been restated for this change. To enable consistent comparison to prior periods, the following selected pro-forma financial information is provided for 2001, assuming no goodwill amortization for 2001:

	Quarter Ended	
	March 31, 2002	March 31, 2001
Earnings from operations as reported	$10,909	$5,885
Add back goodwill amortization	—	736
Pro-Forma earnings from operations	$10,909	$6,621
Pro-Forma net earnings for the period	$ 6,369	$4,059
Earnings per share as reported (basic and diluted)	$ 0.30	$ 0.16
Pro-Forma earnings per share (basic and diluted)	$ 0.30	$ 0.19

(b) Stock-based compensation and other stock-based payments:

Effective January 1, 2002, the Company adopted the new CICA Handbook Section 3870, which requires that a fair value based method of accounting be applied to certain types of stock option awards.

The Company will apply the pro forma disclosure provisions of the new standard to awards granted on or after January 1, 2002. The pro forma effect of awards granted prior to January 1, 2002 has not been included.

(c) Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

2. Acquisitions

On October 12, 2001, the Company acquired the remaining 75% interest in Multi-Marques Inc., to now hold 100%. The Company has not yet completed the determination of fair values of the individual assets and liabilities acquired, or its restructuring and integration plans for the operations acquired. Accordingly, the allocation of the purchase cost of the assets and liabilities acquired is preliminary and will change as restructuring plans are finalized. No restructuring costs have been accrued in the preliminary purchase accounting included in these financial statements, or accrued with respect to any restructuring of existing Canada Bread operations that may result from the integration plans, when finalized.

On April 11, 2002, the Company acquired the remaining 40% interest in Ben's Limited, a Bakery Business In Atlantic Canada, to now hold 100%.

3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligation for delinquent receivables. At March 31, 2002, trade accounts receivable amounting to $44.6 million (March 31, 2001 - $20 million) had been sold under these programs.